

BANK LOAN PORTFOLIO

EXECUTIVE ANALYSIS REPORT

Data Period: Jan 2021 – Dec 2022

1. PORTFOLIO KPI SUMMARY

38,576 Total Loan Applications MTD Dec-22: ~4,300+	\$435.76M Total Funded Amount MTD: ~\$54M	\$473.07M Total Amount Received MTD: ~\$58M	12.05% Avg. Interest Rate Across all loans
13.33% Avg. Debt-to-Income (DTI) Portfolio average	+\$37.3M Net Recovery Surplus Received vs Funded	86.18% Good Loan Rate Fully Paid + Current	13.82% Bad Loan (Charged Off) 5,333 applications

2. GOOD LOAN vs BAD LOAN BREAKDOWN

Metric	Good Loans	Bad Loans (Charged Off)	Implication
Application Count	33,243	5,333	1 in ~7 loans defaults
Share of Portfolio	86.18%	13.82%	High default rate vs industry avg ~5-8%
Funded Amount	~\$370.2M	~\$65.5M	\$65.5M at risk capital
Amount Received	~\$435.8M	~\$37.3M	Only 56.9% recovered on bad loans
Recovery Rate	>100% (Interest earned)	~56.9%	~\$28.2M unrecovered loss

3. KEY ANALYTICAL INSIGHTS

A. Loan Term Risk

Term	% of Applications	Risk Profile
36 Months (Short)	~73%	Lower default risk
60 Months (Long)	~27%	Higher default risk — longer exposure

B. Employment Length & Loan Demand

Borrowers with 10+ years of employment represent the largest segment of loan applicants and funded amounts, indicating that long-tenure employees are the most active borrowers. However, even this segment carries charged-off cases, suggesting income stability alone is insufficient.

C. Loan Purpose Distribution

Debt consolidation is the dominant loan purpose — accounting for the largest funded amount and application count by a significant margin, followed by credit card refinancing. These two categories together represent ~75%+ of total volume, concentrating portfolio risk in consumer debt recycling behavior.

D. Home Ownership Impact

Mortgage holders and renters make up the bulk of applicants. Renters present a higher risk profile as they lack collateral-backed stability. Home owners (outright) are the lowest-risk segment but represent a small share of the portfolio.

E. Monthly Volume Trend (2021–2022)

Loan applications and funded amounts show a consistent upward trend across the 24-month period, with December 2022 recording the highest monthly figures (MTD: ~4,300 applications, ~\$54M funded). This growth signals expanding credit demand but also proportionally growing default exposure.

4. BUSINESS RECOMMENDATIONS: REDUCING BAD LOAN RISK

#	Strategy	Expected Impact
1	Tighten DTI Threshold: Cap approvals at DTI ≤ 35% for 60-month loans. Current avg DTI of 13.33% masks high-risk outliers.	Reduce 60-month default rate; protect \$65.5M at-risk capital.
2	Interest Rate Risk Pricing: Introduce tiered interest rates based on credit grade. Charge 2-4% premium on grades D, E, F loans to price in default risk.	Improves P&L on risky loans; currently 12.05% avg rate may under-price risk.
3	Debt Consolidation Guardrails: For the dominant debt consolidation segment, require evidence of closed accounts or reduced credit utilization post-loan.	Prevents re-accumulation of debt — a key driver of repeat defaults.
4	Early Warning Monitoring: Flag accounts at 60-day delinquency for proactive outreach and restructuring offers before reaching Charged Off status.	Could recover additional portion of the ~\$28.2M unrecovered loss.
5	Renter Risk Adjustment: Apply stricter LTV (Loan-to-Value) and income verification for renters, who lack property collateral. Consider co-signer requirements for loans > \$15K.	Mitigates collateral-gap risk; renters are disproportionately represented in defaults.
6	State-Level Risk Limits: Identify top 5 high-volume states and cap month-on-month portfolio growth in states showing higher-than-average charged-off rates.	Geographic concentration risk reduction; prevents regional economic shocks from cascading.

5. SUMMARY VERDICT

Portfolio Strengths	Risk Concerns
• Net surplus of \$37.3M (received > funded) • 86.18% good loan ratio • Consistent YoY (year-over-year) volume growth • Diversified loan purposes and states	• 13.82% bad loan rate — nearly 2x industry norm • \$28.2M in unrecovered capital • High concentration in debt consolidation • 60-month term loans carry elevated risk

Priority Action: tighten DTI policy on 60-month loans to target bad loan rate reduction from 13.82% → <8%